

QUESTION 1

A company has a Debt-Equity ratio of 4:1. What does this primarily suggest to a potential lender?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. The company is primarily funded by the owner's own capital.
- ☐ B. The company's assets are four times more valuable than its liabilities.
- ☐ C. The company has significant unused borrowing capacity.
- ☒ D. The company has a high financial risk due to heavy reliance on borrowed funds.

Correct

 FEEDBACK

High debt relative to equity increases risk as interest and principal obligations must be met regardless of performance. A 4:1 ratio means there is four times as much debt as equity, indicating a heavy reliance on external funds.

QUESTION 2

A firm reports a significant Net Profit, but is unable to pay its current month's utility bills. Which analysis tool would most likely reveal the reason for this discrepancy?

Answer is Correct

Score: 1 / 1

Options

- ☒ A. Cash Flow Statement Analysis
- ☐ B. Debt-Equity Ratio
- ☐ C. Inventory Turnover Ratio
- ☐ D. Price-to-Earnings Ratio

Correct

 FEEDBACK

The Cash Flow Statement (CFS) reveals 'pseudo profits' by showing if the Net Profit is actually backed by cash inflows or just credit sales.

QUESTION 3

If a company purchases a new factory building for cash, how would this transaction be classified in the Cash Flow Statement?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Operating Activity
- ☐ B. Financing Activity
- ☒ C. Investing Activity
- ☐ D. Liquidity Activity

Correct

 FEEDBACK

Investing activities involve the purchase and sale of long-term assets and other investments not included in cash equivalents.

QUESTION 4

In the calculation of the Interest Earned Ratio (ICR), why is depreciation added back to the Profit After Tax?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. To artificially inflate the company's profitability for shareholders.
- ☐ B. Because depreciation represents the value of new assets purchased during the year.
- ☐ C. Because interest payments are tax-deductible, and depreciation is not.
- ☒ D. Because depreciation is a non-cash expense that does not reduce the actual cash available to pay interest.

Correct

 FEEDBACK

ICR measures the ability to service debt; since depreciation doesn't involve a cash outflow, that 'profit' is still available for interest.

QUESTION 5

Which ratio would be most useful for a manager trying to determine if the company is overstocking items that are not selling?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Total Asset Turnover Ratio

Correct

- ☐ B. Inventory Turnover Ratio

- ☐ C. Net Profit Margin

- ☐ D. Current Ratio

 FEEDBACK

This ratio shows how many times inventory is sold and replaced; a low ratio suggests dead stock or overstocking.

QUESTION 6

A stock has a Market Price of ₹100 and an Earnings Per Share (EPS) of ₹4. What does the resulting P/E ratio of 25 indicate to an analyst?

Answer is Correct

Score: 1 / 1

Options

- ☒ A. Investors are paying 25 rupees for every 1 rupee of the company's earnings. Correct
- ☐ B. The stock is definitely undervalued because the ratio is a whole number.
- ☐ C. The company is generating a 25% return on every share sold.
- ☐ D. The company has 25 times more debt than it has earnings.

 FEEDBACK

The P/E ratio ($100 / 4 = 25$) literally represents the price paid per unit of earnings.

QUESTION 7

If a business has a Current Ratio of 1:1 and its industry average is 2:1, what is a likely conclusion regarding its financial health?

Answer is Correct

Score: 2 / 2

Options

Correct

- ☒ A. The business may face difficulty honoring its short-term obligations if inventory sales slow down.
- ☐ B. The business has too much equity and should take on more long-term debt.
- ☐ C. The business is more efficient than its competitors because it carries less 'lazy' cash.
- ☐ D. The business is definitely profitable because its assets equal its liabilities.

 FEEDBACK

A 1:1 ratio leaves no margin for error; any delay in converting current assets to cash could lead to default on liabilities.

QUESTION 8

A company reports a Net Profit Margin of 15% but a very low Total Asset Turnover. What can be inferred about the company's strategy?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. The company's shareholders are getting a poor return on their equity.
- ☒ B. The company is likely over-invested in assets that are not generating sufficient sales.
- ☐ C. The company relies on selling a high volume of low-margin products.
- ☐ D. The company has poor control over its operating expenses.

Correct

 FEEDBACK

A low asset turnover ratio indicates that the company is not utilizing its assets effectively to generate revenue, despite being profitable on the sales it does make.

QUESTION 9

True or False: A company can have a positive Net Profit on its Income Statement but a negative Cash Flow from Operating Activities.

Answer is Correct

Score: 2 / 2

Options

- ☐ A. False
- ☒ B. True

Correct

 FEEDBACK

This occurs when a firm has high credit sales (revenue recorded but cash not received) or large cash payments for operating expenses not yet reflected in the P&L.

QUESTION 10

A company has Total Sales of ₹4,00,000 and Inventory of ₹80,000. What is the 'Inventory Holding Period' in months (assuming 12 months in a year)?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. 20 months
- ☐ B. 5 months
- ☐ C. 0.2 months
-
- ☐ D. 2.4 months

Correct

 FEEDBACK

Turnover is $400,000 / 80,000 = 5$ times. The holding period is $12 / 5 = 2.4$ months

QUESTION 11

Calculate the Interest Earned Ratio (ICR) for a firm with a Profit After Tax of ₹1,20,000, interest on long-term debt of ₹30,000, and depreciation of ₹50,000.

Answer is Correct

Score: 3 / 3

Options

☐ A. 4.00 times

☐ B. 5.67 times

☐ C. 3.00 times

☒ D. 6.67 times

Correct

 FEEDBACK

The ICR is calculated as $(PAT + Interest + Depreciation) / Interest$, which is $(1,20,000 + 30,000 + 50,000) / 30,000$.

QUESTION 12

A stock is trading at ₹120 per share. The company reports a Profit After Tax of ₹5,00,000 with 50,000 outstanding equity shares. What is the P/E Ratio?

Answer is Correct

Score: 3 / 3

Options

☒ A. 12

Correct

☐ B. 10

☐ C. 24

☐ D. 0.08

 FEEDBACK

First, find EPS: $500000/50000 = 10$. Then, divide the Market Price by EPS: $120/10 = 12$.